DRAFT SAMPLE EXAMINATION MARKING KEY

2008/17049v2

SECTION ONE: MULTIPLE CHOICE

Question	Answer
1	C
2	C
3	D
4	C
5	A
6	C
7	B
8	A
9	A
10	D
11	B
12	C
13	A
14	B
15	C
16	A
17	B
18	B
19	A
20	A

1 mark for each correct answer

SECTION TWO: APPLICATION AND RESPONSE

[180 marks]

Question 1

Description	Marks
GOING CONCERN The life of the business is believed to be ongoing so non-current assets are recorded at their cost price. The cost price and purchase price is one and the same so the business recording non-current assets at their purchase price has correctly applied the going concern assumption.	1 1
PERIOD The life of the business is believed to be ongoing so is broken into time periods to calculate profit for decision make purposes. This business has explained that its life is divided into bimonthly periods to produce financial statements – ultimately calculating profit.	1 1
MONETARY All transactions are recorded in a common monetary unit. This business converts Singaporean dollars into Australian dollars for recording purposes, thus ensuring that the overseas transactions have the same monetary unit as those within Australia.	1 1
ACCOUNTING ENTITY The business is a separate body form the owner and business records must be kept separate from the owner. The owner taking cash from the business was recorded as drawings because from the point of view of the business, money was paid to the owner for personal use and not business expenses.	1 1
Maximum	4 marks

Question 2

Description	Marks
DEFINITION: <u>Future economic benefits</u> The item will provide financial benefit to the business. The vans will be used to deliver goods to customers who will pay for the delivered goods. Thus, the vans will provide financial benefits in the form of Income. <u>Controlled by the entity</u> The item is for the exclusive use of the person in possession of the item. Despite Fiona not owning the vehicles, she is using them each day – without any other business being able to use them without her permission. <u>Past transaction/event</u> The item is as a result of something which has happened previously. In this case, Fiona signed a contract with the vehicle salesman in February and they were delivered in March. Therefore, the signing of the contract and delivery of the vehicles were the past events.	1 1 1
RECOGNITION CRITERIA: <u>Probable that the event will occur</u> An asset is more than 50% likely to ensure that the future economic benefits eventuate, The business is receiving orders to necessitate the purchase of the vehicles. It is therefore more than likely the business will receive financial benefits from the vehicles delivering goods to their customer for payment. <u>Value can be reliably measured</u> The cost of the asset can be measured free from bias, error or persuasion. The business signed a contract with an external agency for the vehicles. The terms of the contract outline equal repayments of $3 000 each month for 2 years. Therefore, the value of the vehicles can be reliably stated as $72 000. As the vehicles satisfy all of the asset recognition criteria, they can correctly be recorded by Fee's Flowers as an asset in the business' Balance Sheet.	1 1 1
Maximum	6 marks

Question 3
(a) ***[10 marks]***

2 marks per correct general journal entry (1 debit, 1 credit) x 4 entries **= 8 marks**
2 marks for 4 correct narrations (1 mark for 2-3 correct narrations) **= 2 marks**

Bodylife Physiotherapy General Journal			
Date	**Details**	**Debit**	**Credit**
2009			
Nov 7	Examination table	$720	
	GST credits	72	
	Physiotherapy Suppliers		$792
	Purchased examination table as per tax invoice N-351089		
	Advertising expense	350	
	GST credits	35	
	Bank		385
	Paid Rave Promotions for advertising as per cheque 2005		
	B Trainer (debtor)	66	
	Fees revenue		60
	GST collections		6
	Charged fees and issued tax invoice 09-2431		
	Bank	88	
	Fees revenue		80
	GST collections		8
	Received fees from T Wong as per tax invoice/receipt 09-2432		

(b) ***[4 marks]***

Bodylife Physiotherapy

GST Collections Account

			2009 Nov 7	 B Trainer Bank	 **(1)** $6 **(1)** 8

GST Credits Account

2009 Nov 7	 Physiotherapy Suppliers Bank	 **(1)** $72 **(1)** 35			

(c) ***[6 marks]***

Reporting and paying tax is done through a business activity statement. **(1)** Businesses must prepare their BAS and submit whatever is owing to the Tax Office on a regular basis. **(1)** Businesses are required to pay the GST they collect to the Tax Office. **(1)** Businesses registered for GST can generally claim a credit for any GST included in the price paid for items to be used in the business. **(1)** These amounts are known as tax credits. **(1)** The total amount they must pay the Tax Office is determined by offsetting amounts collected and tax credits. **(1)**

(d) ***[2 marks]***

Businesses account for their GST obligations on the BAS at the end of each tax period. **(1)** Small businesses, such as Bodylife Physiotherapy, normally have quarterly tax periods (if GST turnover is less that $20 million). **(1)**

(e) ***[1 mark]***
A business must register for GST if it's turnover is at or above the registration turnover threshold of $75 000 per year. **(1)**

Question 4
[27 marks]

1 mark for each correct debit/credit entry = 25 marks
1 mark for correct dates
1 mark for correct narrations

Apple Cider Juice General Journal			
Date	**Details**	**Debit**	**Credit**
2007 April 2	Cash at bank Motor Vehicle Capital Owner commenced business with assets	$25 000**(1)** 16 000**(1)**	 $41 000**(1)**
2	Prepaid insurance GST Credits received Cash at bank Paid quarterly insurance premium cheque no. 000101	1 227**(1)** 123**(1)**	 1 350**(1)**
4	Computer systems GST credits received Compsyche Computers Purchased new computer system on credit	6 000**(1)** 600**(1)**	 6 600**(1)**
12	Cash at bank Sales Sold GST free goods for cash	1 200**(1)**	 1 200**(1)**
	Cost of sales Inventories control Cost of sales	400**(1)**	 400**(1)**
29	Drawings Inventories control Cash at bank Owner withdrew inventories and cash for personal use	275**(1)**	 75**(1)** 200**(1)**
May 8	Cash at bank Ausbank Bank loan	10 000**(1)**	 10 000**(1)**
31	Wages Cleaning expenses correcting entry	240**(1)**	 240**(1)**
June 30	Inventory adjustment Inventory control Inventory shortage as per stocktake	42**(1)**	 42**(1)**
30	Depreciation of vehicle Accumulated depreciation of vehicle Straight line depreciation at 20% for three months	*800**(2)**	 *800**(1)**

Calculation of depreciation: [$16 000 x 20%] (1) x 3/13 (1) = $800 – no penalty for consequential error

Question 5
(a) ***[16 marks]***

Workings:

Interest Expense
$1 900 - $87 = $1 813

Bank Charges
= $87

Insurance Expenses
= $250

Rent Expense
$14 060 + $4 060 = $18 120

Rent Income
= $4 060

Delta's Detailing

Income Statement for Period Ending 30 June 2009 **(1)**

INCOME			
Fies		*$45 260* **(1)**	
Rent		*4 060* **(1)**	*$49 320*
EXPENSES			
General Costs			
Advertising	*$3 273* **(1)**		
Telephone	*1 216* **(1)**		
Stationery	*1 000* **(1)**		
Electricity	*2 660* **(1)**		
Insurance	*250* **(1)**	*8 399*	
Finance Costs			
Interest	*1 813* **(2)**		
Bank Charges	*87* **(1)**	*1 900*	
Employee Costs			
Office Salaries	*5 540* **(1)**	*5 540*	
Other Costs			
Rent	*18 120* **(2)**	*18 120*	*33 959*
PROFIT			*15 361*

+ 2 marks for correct classification and format
-1 mark for each foreign item; maximum of 2

(b) ***[13 marks]***

Workings:

Description	Marks
Cash at Bank 13 211(Balance) + 250 (Insurance) = $12 961	2
Capital (calculated from trial balance) Debit balances $75 818 – Credit balances $56 818 = $19 000	2

Delta's Detailing

Balance Sheet as at 30 June 2009 **(1)**

CURRENT ASSETS		
Cash at bank **(2)**	$12 961	
Debtor—S Slick **(1)**	2 158	$15 119
NON-CURRENT ASSETS		
Office furniture and equipment **(1)**	29 800	29 800
Total Assets		44 919
CURRENT LIABILITIES		
Creditor—J Flower **(1)**		1 558
NON-CURRENT LIABILITIES		
Loan from N E Bank (repayable on 1 July 2017) **(1)**		10 000
Total Liabilities		11 558
Net Assets		**$33 361**
EQUITY		
Capital—D Dawn **(2)**		19 000
less drawings **(1)**		1 000
add profit **(1)**		15 361
Total Equity		**$33 361**

+ 2 marks for correct classification and format
-1 mark for each foreign item; maximum of 2

(c) ***[6 marks]***

<table>
<tr><th>Description</th><th>Marks</th></tr>
<tr><td><u>PARTNERSHIP</u>

Between 2-50 owners to establish a partnership
Business is legally required to follow the Partnership Act
However, the business can create a legally binding document called the Partnership Agreement that can overrule some or all of the provisions of the Partnership Act.
</td><td>+1 mark for each answer (or any other reasonable suggestion) for a maximum of 3 Marks for partnerships</td></tr>
<tr><td><u>COMPANY</u>

Need one shareholder to establish a company; however, cannot have more than 50 non-employee shareholders
Company is legally required to follow the Corporations Law
However, Corporations Law contains Replaceable Rules that company's can decide to overrule some or all of them by creating their own legally binding document called a Constitution.
To establish a small proprietary business, the company must satisfy 2 of the following:

Gross operating income must be less than $10 million
Gross assets must be less than $5 million
Employees must not exceed 50

Company's require a name with Proprietary or Pty in their name
Small proprietary company is required to keep accounting records but not generally required to prepare audited financial reports.
</td><td>+1 Mark for each answer (or any other reasonable suggestion) for a maximum of 3 Marks for companies</td></tr>
</table>

(d) ***[3 marks]***

As a small proprietary company Delta's Detailing my borrow funds in its own right. It can raise funds through:

- shareholders (although its shares may not be offered for public sale)
- a loan from a banks or other financial institution
- overdraft facilities from its bank.

1 mark for any reasonable point

Question 6
(a) ***[18 marks]***

Workings:

<u>Provision for Doubtful Debts</u>
- close bad debts to provision ($1 000)
- calculate closing balance of provision account ($100) and reconstruct the provision account to calculate the doubtful debts figure ($1 020)

<u>Insurance Expense</u>
$570 - $70 = $500
<u>Rent income</u>
$7 000 - $200 = $6 800
<u>Depreciation of Building</u>
$25 000 (1) x 5% (1)
= $1 250
<u>Depreciation of Delivery Vehicles</u>
[$12 000 (1) - $3 000 (1)] x 30% (1)
= $2 700

1 mark for correct debit/credit entry
1, 2 or 3 marks per figure (as indicated)

Ozzie Oscar's General Journal			
Date	**Details**	**Debit**	**Credit**
2007 *30 June*	*Provision for Doubtful Debts* **(1)**	*1000* **(1)**	
	Bad Debts		*1000*
	Transfer bad debts to provision		
30 June	*Doubtful Debts* **(1)**	*1020* **(1)**	
	Provision for Doubtful Debts		*1020*
	Establish new provision of 1% of Accounts Receivable		
30 June	*Sales Salaries* **(1)**	*80* **(1)**	
	Accrued Sales Salaries Expense		*80*
	Sales Salaries owing		
30 June	*Insurance Expense* **(1)**	*500* **(1)**	
	Prepaid Insurance Expense		*500*
	Insurance Expense paid but not consumed		
30 June	*Unearned rent* **(1)**	*6 800* **(1)**	
	Rent Income		*6 800*
	Rent Income received but not earned		
30 June	*Depreciation on Building* **(1)**	*1 250* **(2)**	
	Accumulated Depreciation on Building		*1 250*
	Depreciation of building charged at 5% of cost		

30 June	*Depreciation on Delivery Vehicle* **(1)**	*2 700* **(3)**	
	Accumulated Depreciation of Delivery Vehicle		*2 700*
	Depreciation of delivery vehicle charged at 30% reducing balance		

+ 1 mark for correct narrations

Maximum: 18 marks

(b) ***[13 marks]***

Provision for Doubtful Debts Account

2007 Jun 30	Bad debts Balance c/d	**(1)** $1 000 **(1)** 100	2006 Jul 1 2007 Jun 30	 Balance Doubtful debts	 **(1)** $80 **(1)** 1 020
		1 100			1 100

Unearned Rent Account

2007 Jun 30	 Rent Balance c/d	 **(1)** 6 800 **(1)** 200	2007 Jun 30	 Balance	 **(1)** 7 000
		7 000			7 000

Insurance Expense Account

2007 Jun 30	 Prepaid insurance	 **(1)** 500	2007 Jun 30	 Profit & loss	 **(1)** 500

Sales Salary Account

2007 Jun 30	 Balance Accrued expenses	 **(1)** 13 500 **(1)** 80	2007 Jun 30	 Profit & loss	 **(1)** 13 580
		13 580			13 580

1 mark for correct balancing of accounts

Maximum: 13 marks

Question 7
[9 marks]

Description	Marks
Liquidity is the ability of a business to meet short term debts as they fall due. It is a measure of the business' ability to convert assets into cash.	1

WORKING CAPITAL:
• Working Capital ratio measures the business' liquidity by comparing the total number of current assets available to meet the total number of current liabilities. (In Specifications Booklet)
• Business figures indicate:
   o 2005 - $1.04 of assets for each $1 of liabilities.
   o 2006 - $1.17 of assets for each $1 of liabilities
   o 2007 – 23c of assets for each $1 of liabilities
• Drastic decline from 2006 to 2007.
• Business would be unable to meet liabilities as they fall due.
• Decline mainly because of a fall in Cash at Bank. The fall in Cash at Bank could possibly have been because of:
   o Purchase of $30 000 worth of tools and equipment possibly for cash
   o Payment of an extra $32 000 on wages and salaries
   o Business also took a new $16 000 loan, thus increasing liabilities for the period and necessitating principle repayments and interest payments in the period
• Industry average given was 2:1, or $2 of assets for each $1 of liabilities. Business is well below the desired industry level
• It is possible that the wages and tools situation may improve if a partner who is a plumber is acquired.
• It could be surmised that extra employees were hired in the new absence of the owner who had plumbing experience
• There was also a sharp incline in Advertising and other expenses that should be reviewed for 2008.
	+1 mark for any point (or any other reasonable point) – to a maximum of 4 marks

DEBT TO EQUITY:
• Debt to Equity ratio measures the gearing of the business by comparing the owner's contribution to the business with the indebtedness to outside parties, thus indicating the control the owner has of the business. (In Specifications Booklet)
• Business figures indicate:
   o 2005 – 11c of liabilities for each $1 equity
   o 2006 – 10c of liabilities for each $1 equity
   o 2007 – 18c of liabilities for each $1 equity
• Debt to outside parties, and therefore less owner control, has been increasing very slowly over the past 3 years.
• However, it is well below the industry average of 80c of liabilities for each $1 of equity, which is a positive sign.
• The rise of liabilities in 2007 is mainly attributable to the $16 000 loan.
• Despite poor profits in 2007, capital is only $11 000 less, showing the owner may:
   o Have contributed further capital
   o Wisely kept drawings to a minimum
• To maintain the level of gearing, Veronica is advised to continue these practices.
	+1 mark for any point (or any other reasonable point) – to a maximum of 4 marks

Question 8
(a) ***[19 marks]***

Workings

Depreciation 30 June 2006	($28 000 x 20%) ***(1)***	= $5 600
Depreciation 30 June 2007	($28 000 - $5 600) ***(1)*** x 20% ***(1)***	= $4 480
Depreciation 30 June 2008	($28 000 - $5 600 - $4 480) ***(1)*** x 20% ***(1)***	=$3 584
Depreciation 2 Feb 2009	($28 000 - $5 600 - $4 480 - $3 584) ***(1)*** x 20% ***(1)*** x 7/12 ***(1)***	= $1 673
Total		**$15 337**

The marks allocated in the 'accumulated depreciation motor vehicle' ledger account below are a reflection of the workings marks.

Accumulated Depreciation Motor Vehicle

2007	Balance c/d	10 080	2006		
June 30			June 30	Depreciation M/V	**(1)** $5 600
			2007		
			June 30	Depreciation M/V	**(2)** 4 480
		10 080			10 080
2008	Balance c/d	13 664	1July	Balance b/d	10 080
			2008		
June 30			30 June	Depreciation M/V	**(2)** 3 584
		13 664			13 664
2009			1 July	Balance b/d	13 664
2 Feb	Sale of Motor Vehicle **(1)**	**(1)***15 337	2009		
			2 Feb	Depreciation M/V	**(3)** 1 673
		$15 337			$15 337

***** representing correction addition of the four depreciation figures

Sale of Motor Vehicle

2009			2009		
2 Feb	Motor Vehicle	**(1)** 28 000	2 Feb	Accum Depn of M/V	**(1)** 15 337
				Bank	**(1)** 9 500
				Loss on sale **(1)**	**(1)** 3 163
		$28 000			$28 000

- Balancing of accounts = 1 mark
- Dates = 1 mark
- Cross Referencing = 2 marks

(b) ***[2 marks]***

A profit occurs when the motor vehicle has been over depreciated **(1)** and a loss occurs when it has been under depreciated. **(1)**

Any other acceptable answer

Question 9

Part A

(a) ***[1 mark]***

Description	Marks
The Stock Asset account as at 6 June 2007 has a $70.00 debit balance.	1

(b) ***[1 mark]***

Description	Marks
The average cost of the milk jugs on 3 June is $5.00.	1

(c) ***[1 mark]***

Description	Marks
The average cost of the milk jugs on 6 June is $7.00.	1

(d) ***[2 marks]***

Description	Marks
Average cost is a calculated cost which takes into consideration the purchase and sales history of a particular stock item. The average cost is recalculated after each purchase or sale of an item. Each item It is calculated by taking the total Asset Value for that item divided by the quantity of that item.	2

(e) ***[2 marks]***

Description	Marks
In the Stock Valuation Detail report the average cost of the milk jugs has increased on 5 June because the total asset value has increased. The purchase on 2 June has a total cost of $50.00, therefore the cost of each item is $5.00 (10 items divided by $50.00). In the sale on 3 June 5 items are sold therefore the Asset value is reduced by $25.00. This leaves 5 Milk Jugs at a total asset value of $25.00. The average cost is still $5.00 per Milk Jug. On 5 June we purchased another 10 Milk Jugs but this time their net cost is $80.00 so we now have 15 Milk Jugs at a total cost of $105.00. The average cost is now $7.00 ($105.00 divided by 15).	2

(f) ***[2 marks]***

Description	Marks
The cost of sales account will be debited with $35.00. Five items have been sold with an average cost of $7 each.	2

Part B

[5 marks]

Description				Marks
Date	Account	Dr	Cr	
14 May	Cash at Bank	550.00		1 mark per entry
Income		500.00		
	Tax Payable		50.00	
	Stock Asset	360.00		
	Cost of Goods Sold		360.00	

Part C
[2 marks]

Description	Marks
The double entry Computerised Accounting software only uses the General Journal. When a transaction is entered into the software the entry posts directly to the ledger accounts therefore removing the need for the six remaining journals.	1 1

Question 10
[5 marks]

Description	Marks

• Lowering the cost may encourage young people to smoke cigarettes
• Cheaper access to cigarettes could increase the frequency/amount young people purchases i.e. they can now afford 6 packets a week, instead of 4.
• This would create:
    o health issues
    o addiction
    o financial stress etc.
• Public perception of putting commission (i.e. profits) before the welfare of customers/young people
• Need to educate young people on the dangers of cigarette smoking
	+1 mark for each answer (or any other reasonable suggestion) for a maximum of 5 marks

Accounting and Finance—Stage 2 Exam Mapping

Question	Theory	Practical	Financial institutions and systems		Recording, using and evaluating financial information		Government and the community		Total Unit 2A	Unit 2B
SECTION ONE										
1	1			1					1	
2	1			1					1	
3	1					1				1
4	1			1					1	
5		1			1					1
6	1					1				1
7		1		1					1	
8		1			1					1
9		1			1					1
10	1			1						1
11		1			1					1
12		1		1						1
13	1			1					1	
14		1				1				1
15		1				1				1
16		1				1				1
17		1				1				1
18		1				1				1
19		1			1					1
20		1			1				1	
Total	7	13	0	7	6	7	0	0	6	14
SECTION TWO									4	
1	4			4					6	
2	6			6					6	
3a		10			10				10	
3b		4			4				4	
3c	6						6		6	
3d	2						2		2	
3e	1						1		1	
4		27			27				27	
5a		16			16					16
5b		13			13					13
5c	6						6		6	
5d	3		3						3	
6a		18			18					18
6b		13			13					13
7	9					9				9
8a		19			19					19
8b	2				2					2
9 Part A - a	1				1					1
- b	1				1					1
- c	1				1					1
- d	2				2					2
- e	2				2					2
- f		2			2					2
9 Part B		5			5					5
9 Part C	2				2					2
10	5							5	5	
Total	60	140	3	17	144	16	15	5	80	120
			= 20		= 160		= 20			
	30%	**70%**	**10%**		**80%**		**10%**		**40%**	**60%**